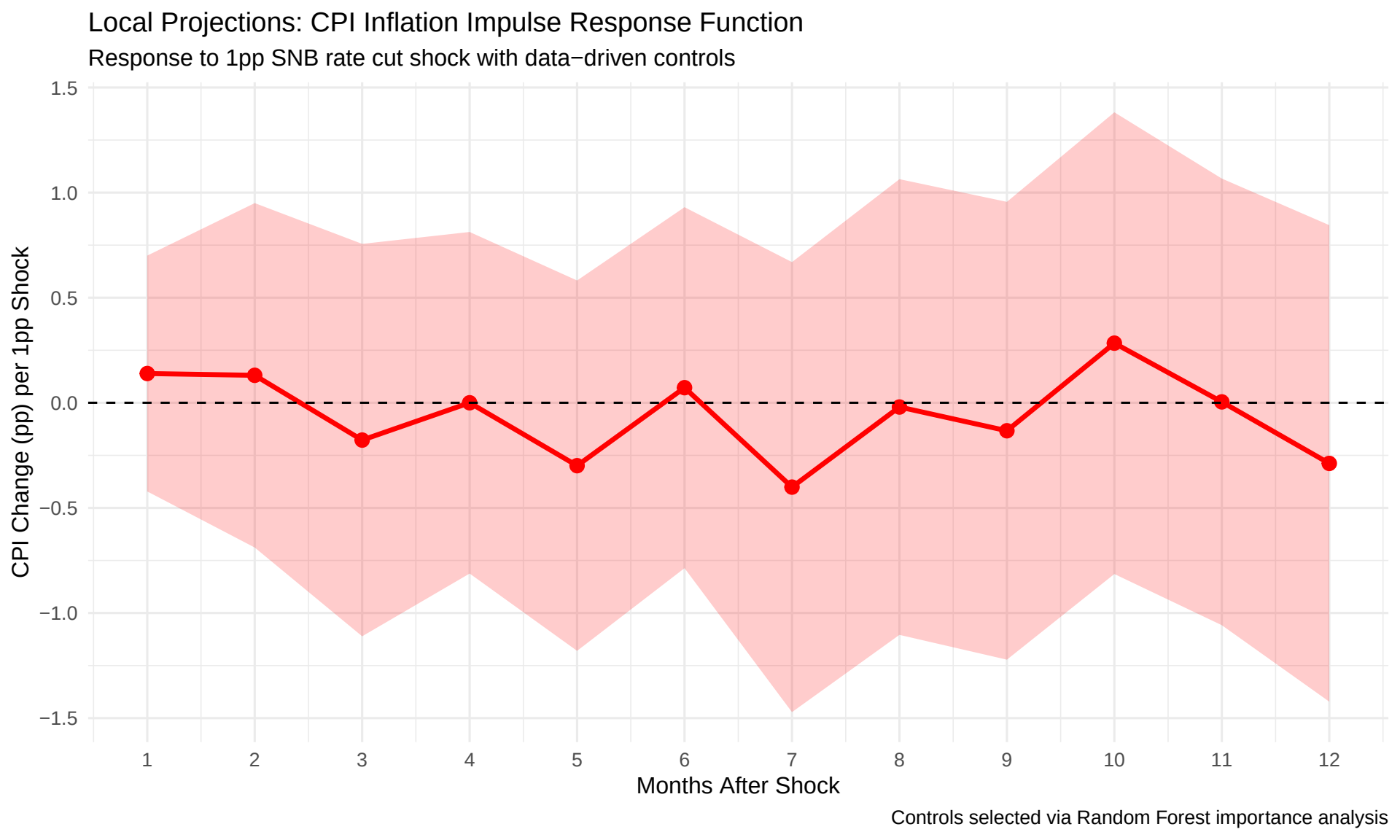
Local Projections: CPI Inflation Impulse Response Function
Response to 1pp SNB rate cut shock with data−driven controls
CPI Change (pp) per 1pp Shock
1.5
1.0
0.5
0.0
−0.5
−1.0
−1.5
1
2
3
4
5
6
7
8
9
10
11
12
Months After Shock
Controls selected via Random Forest importance analysis